24STCV02743 24STCV02743

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Case Number: 24STCV02743 Hearing Date: July 29, 2026 Dept: 310

Tentative Ruling

Judge Kevin C. Brazile

Department 310

Hearing Date: July 29, 2026

Case Name: The Access Fund I, LP, et al. v. Dash Radio, Inc., et al.

Case No.: 24STCV02743

Matter: Demurrer

Moving Party: Defendants Kevin Tsujihara and Scott P. Keeney

Responding Party: Plaintiffs The Access Fund I, LP; The Norton Family Living Trust; PG

Mountain Ventures LLC; Buh Dop a Dee Ventures, LLC; The 2001 Arthur

Family Trust; and AKH Global, LLC

Notice: OK

Ruling: The Demurrer is overruled.

Moving party to give notice.

The Court encourages all parties to appear remotely via LA

CourtConnect. If submitting on the Court's tentative ruling, please follow the instructions provided above.

On April 6, 2026, Plaintiffs The Access Fund I, LP; The Norton Family Living Trust; PG Mountain Ventures LLC; Buh Dop a Dee Ventures, LLC; The 2001 Arthur Family Trust; and AKH Global, LLC filed the operative Fourth Amended Complaint ("4AC") for (1) fraudulent misrepresentation, (2) breach of contract, (3)-(4) breach of fiduciary duty, (5) breach of duty of loyalty, (6) intentional interference with prospective economic advantage, (7) successor liability, (8) fraudulent transfer, (9) civil theft, and (10) violations of the UCL.

Plaintiffs allege, "In April 2022, Plaintiffs collectively invested $650,000 in convertible promissory notes in Dash Radio, Inc. [ ] pursuant to a Note Purchase Agreement. Plaintiffs' investment was premised, in large part, on representations made that Dash Radio would have a robust business that included an online radio and a memorabilia authentication service. Instead, defendants drove Dash Radio into insolvency and misrepresented Dash Radio's financial state thereby depriving Plaintiffs of their rights under the Note Purchase Agreement. In a clear breach of these representations, defendants, at the behest of defendant Scott P. Keeney [ ], took Dash Radio's business and concepts and diverted those opportunities to other entities where Mr. Keeney had a financial interest and deprived Dash Radio's investors and creditors of their investment. For example, defendants diverted Dash Radio's online radio business to another entity for below market value, which substantially contributed to Dash Radio's inability to repay Plaintiffs." (4AC ¶ 1.)

Defendants Kevin Tsujihara and Scott P. Keeney now demur to the third, fourth, and fifth causes of action for failure to state sufficient facts.

When considering demurrers, courts read the allegations liberally and in context, and "treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (Serrano v. Priest (1971) 5 Cal.3d 584, 591.) "A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action." (Hahn v. Mirda¿(2007) 147 Cal.App.4th 740, 747.) It is error "to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment." (Aubry v. Tri-City Hospital Dist.¿(1992) 2 Cal.4th 962, 967.)

Defendants contend that the 3rd, 4th, and 5th causes of action remain direct in substance because Plaintiffs continue to allege creditor-specific injuries and seek individual monetary damages.

Under Delaware law, determining whether a claim is direct or derivative depends on two questions: (1) Who suffered the alleged harm (the corporation or the suing stockholders/creditors individually)? and (2) Who would receive the benefit of any recovery or remedy? (Tooley v. Donaldson, Lufkin & Jenrette, Inc. (Del. 2004) 845 A.2d 1031, 1033).

The 4AC cures the prior pleading defect. Paragraphs 92, 104, and 117 explicitly allege harm to Dash Radio itself resulting from the Board's decision to sell the corporation's assets for less than 2% of their previous valuation earlier that year. Furthermore, the 4AC adds a dedicated prayer for derivative relief on behalf of Dash Radio, ensuring that recovery on these specific causes of action flows to the entity. The co-existence of individual claims or contextual background regarding creditor harm elsewhere in the pleading does not destroy the derivative character of these specific corporate injury claims at the demurrer stage.

Because Plaintiffs did not make a pre-suit demand on Dash Radio's board, they must plead particularized facts showing demand would have been futile.

Under United Food & Commercial Workers Union v. Zuckerberg (Del. 2021) 262 A.3d 1034, demand is excused as futile if at least half of the board members: (1) Received a material personal benefit from the alleged misconduct; (2) Face a substantial likelihood of liability on the claims; or (3) Lack independence from someone who received a material personal benefit or faces a substantial likelihood of liability. “If the answer to any of the questions is ‘yes’ for at least half of the members of the demand board, then demand is excused as futile.” (United Food & Com. Workers Union & Participating Food Indus. Emps. Tri-State Pension Fund v. Zuckerberg (Del. 2021) 262 A.3d 1034, 1059.)

The 4AC identifies the 4-member Board at the time of the transaction as Keeney, Tsujihara, Burbank, and Zeisser, all of whom signed the unanimous board consent approving the asset sale. The 4AC specifically alleges that as part of the asset sale, each of the four directors was offered an exclusive opportunity to receive equity in the acquiring LITT Entities—a non-ratable benefit withheld from all other creditors and shareholders of Dash Radio (4AC ¶¶ 52, 86, 99, 111). Under Delaware law, an exclusive, non-pro-rata investment opportunity extended to approving directors in connection with an end-stage transaction selling corporate assets supports a reasonable inference of a conflict of interest sufficient to excuse demand at the pleading stage (Orman v. Cullman (Del. Ch. 2002) 794 A.2d 5, 23). Because the 4AC satisfies the first prong of Zuckerberg for a majority of the board, demand futility is adequately pleaded.

For all these reasons, the Demurrer is overruled. An answer is to be filed within 10 days.

Moving party to give notice.